

Lecture 05

Taxes

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AEM 4510

Roadmap

1. What are the different kinds of price instruments in theory and the real world?
2. What happens under a tax?

Taxes

Emission taxes



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Solves the two big problems with externalities:

1. Poorly defined property rights (assigned to the regulator)
2. High transactions costs (pay a flat fee)

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We know abatement costs are decreasing in emissions and damages are increasing in emissions

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This means that the regulator's optimal tax is given by:

$$\tau^* = D'(E^*)$$

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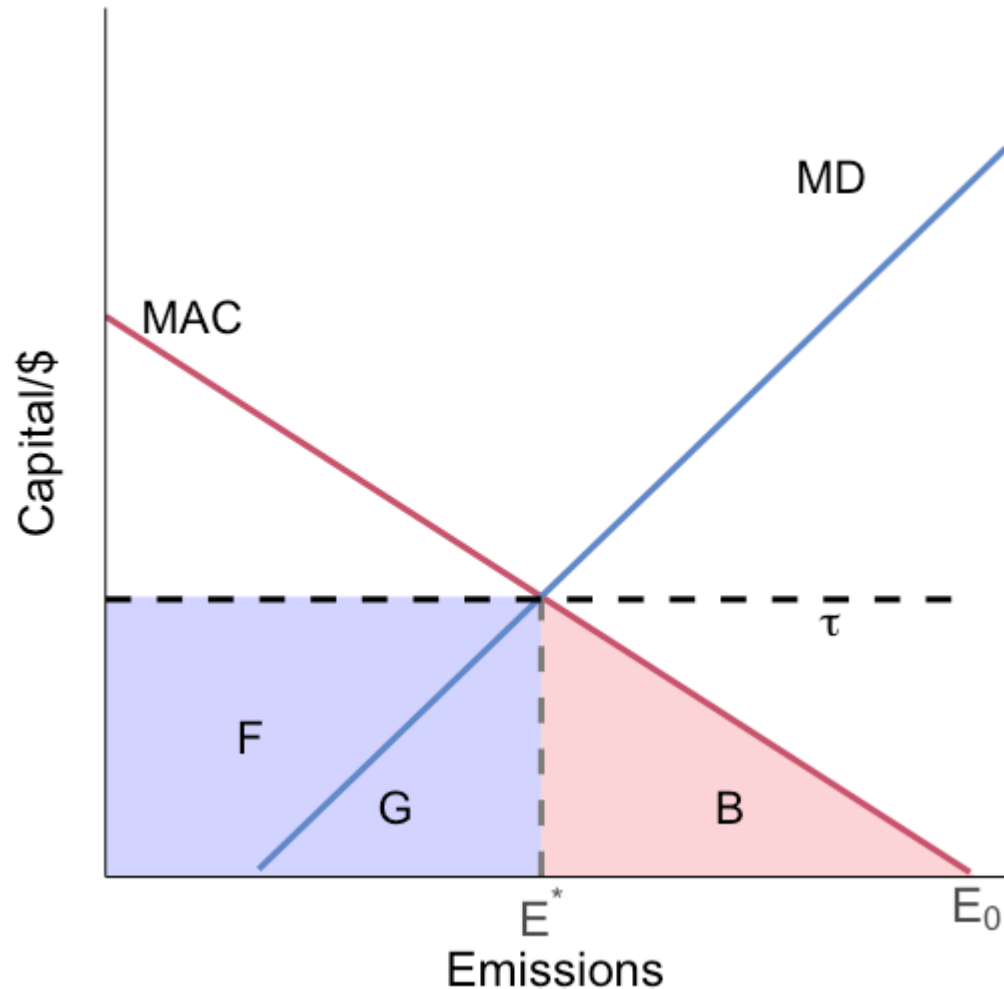
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The tax actually makes them bear a cost exactly equal to marginal damage

Emission taxes: graphical



The optimal tax equals MD at E^*

You can think of this as the firm being forced to pay for damages equal to the cost of the last unit of emissions

In addition to paying abatement cost equal to the red area B , the firm also has a tax payment equal to the blue area $F + G$

Emission taxes: real world

Australia started carbon tax on July 1, 2012

\$23 AUD per ton of carbon emitted for large emitters as a response to the Copenhagen Accord of 2009

Australia hopes to reduce carbon emissions by 80% below 2000 levels by 2050

Started by Julia Gillard government and revoked by Tony Abbott government in July 2014

Emission taxes: real world

In 2008, the province of British Columbia implemented North America's first broad-based carbon tax

The carbon tax applies to the purchase and use of fossil fuels and covers approximately 70% of provincial greenhouse gas emissions

Beginning April 1, 2018, B.C.'s carbon tax rate is \$35 per tonne of carbon dioxide equivalent emissions

To improve affordability, government increased the Climate Action Tax Credit

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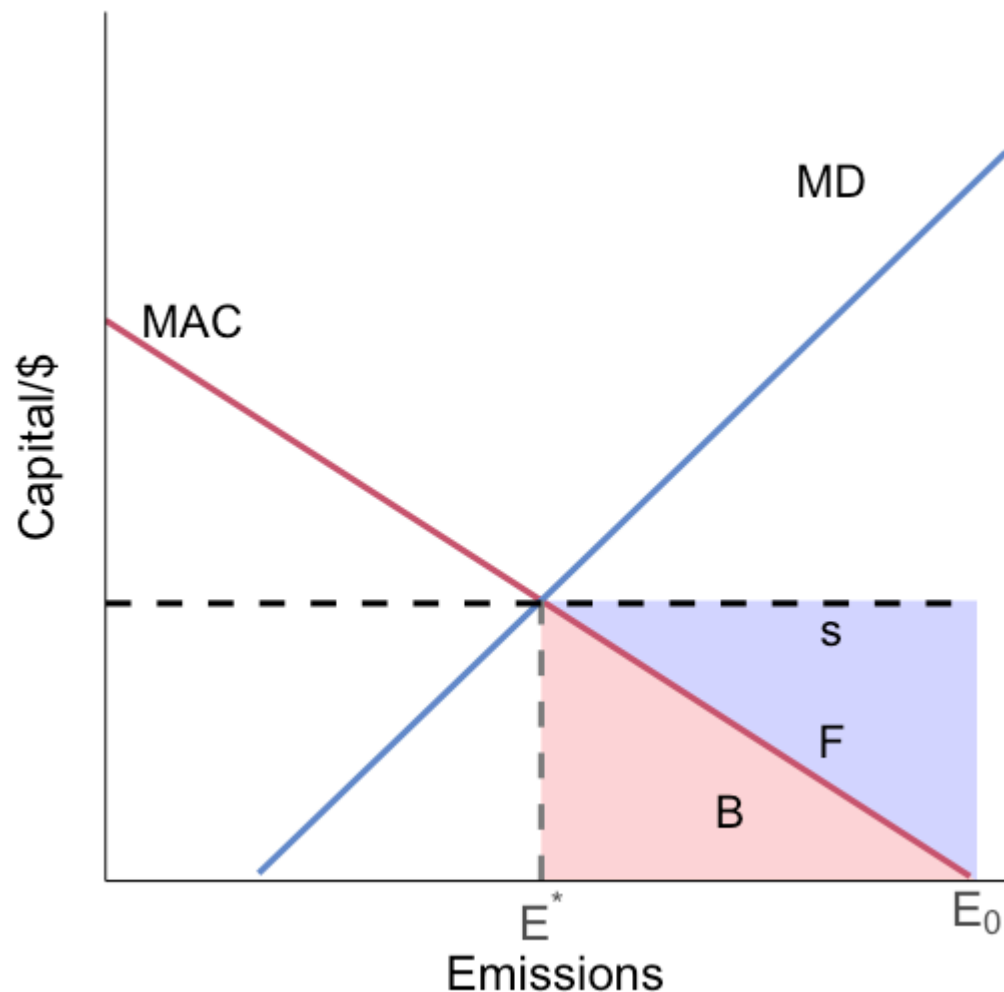
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Congestion Pricing

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A toll internalizes these externalities by making drivers pay the social cost of their trips

NYC congestion pricing

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How it works:

- \$9 toll for cars entering Manhattan south of 60th Street (peak hours)
- \$2.25 for motorcycles, \$14.40 for small trucks, \$21.60 for large trucks
- Off-peak and overnight discounts
- Exemptions for emergency vehicles, buses, residents below income threshold

NYC congestion pricing

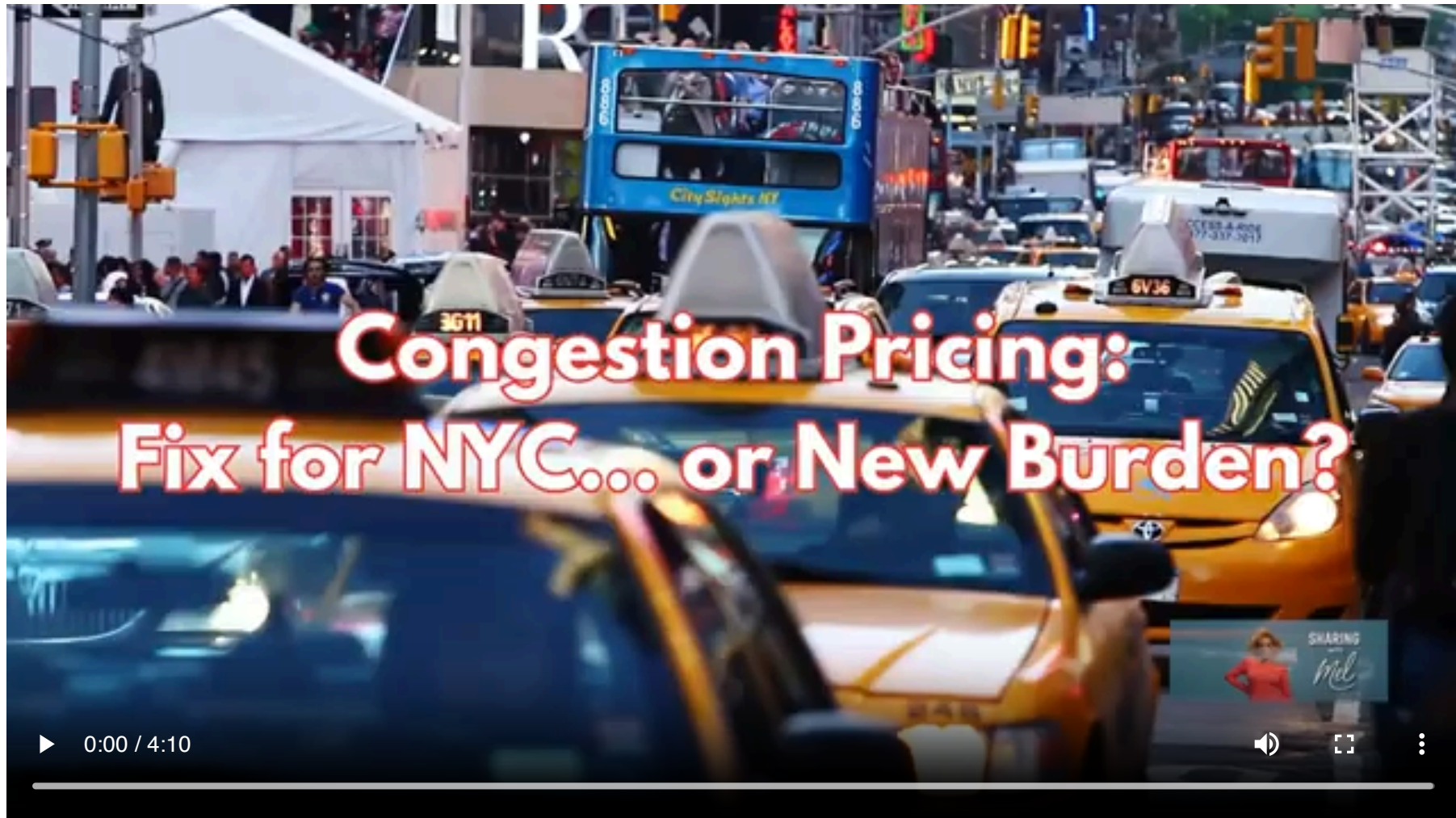
Goals:

- Reduce traffic by 10-15%
- Raise \$1 billion annually for MTA public transit improvements
- Faster bus and emergency vehicle travel times
- Improved air quality in Manhattan

NYC congestion pricing explained

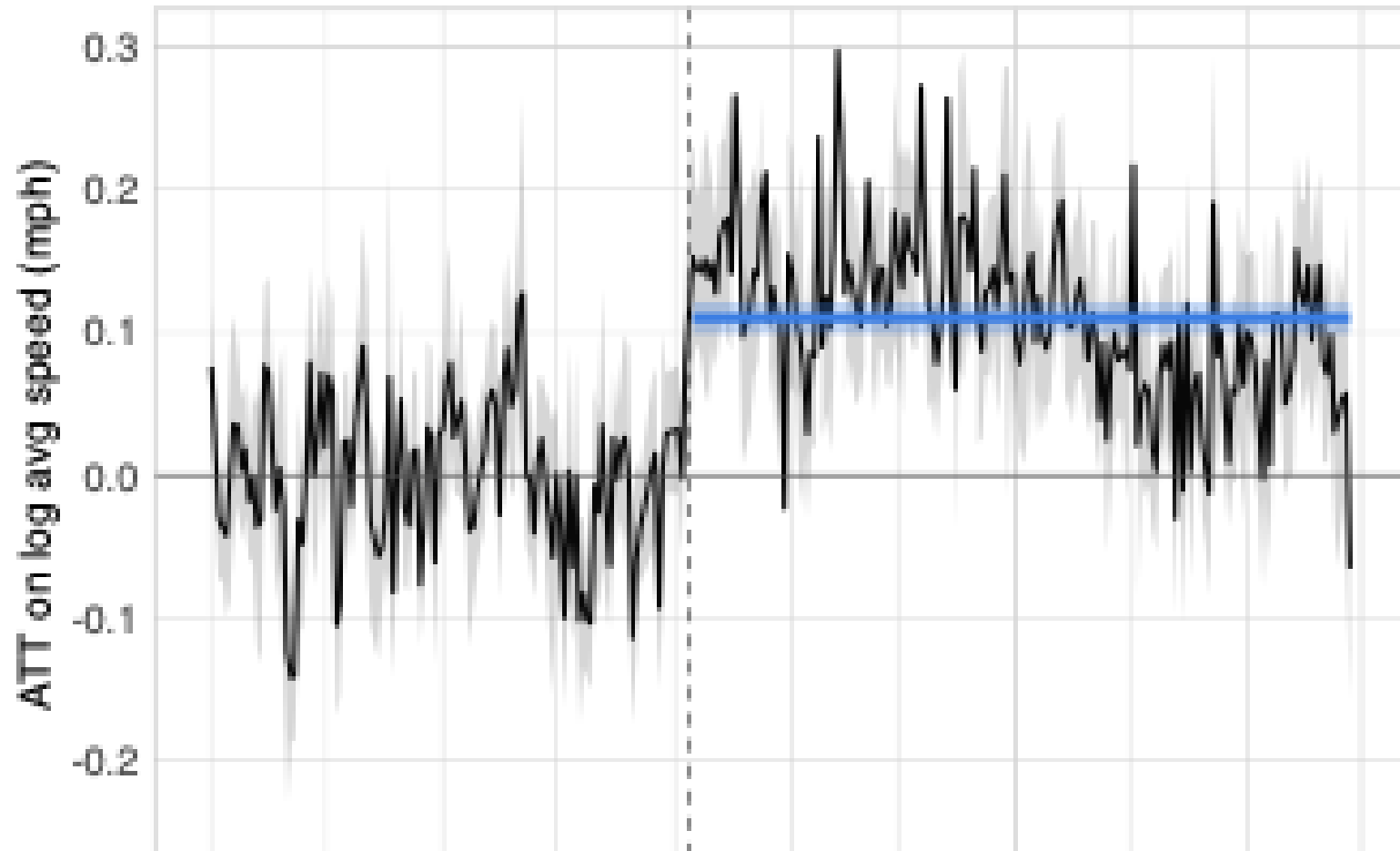


NYC congestion pricing: one year later



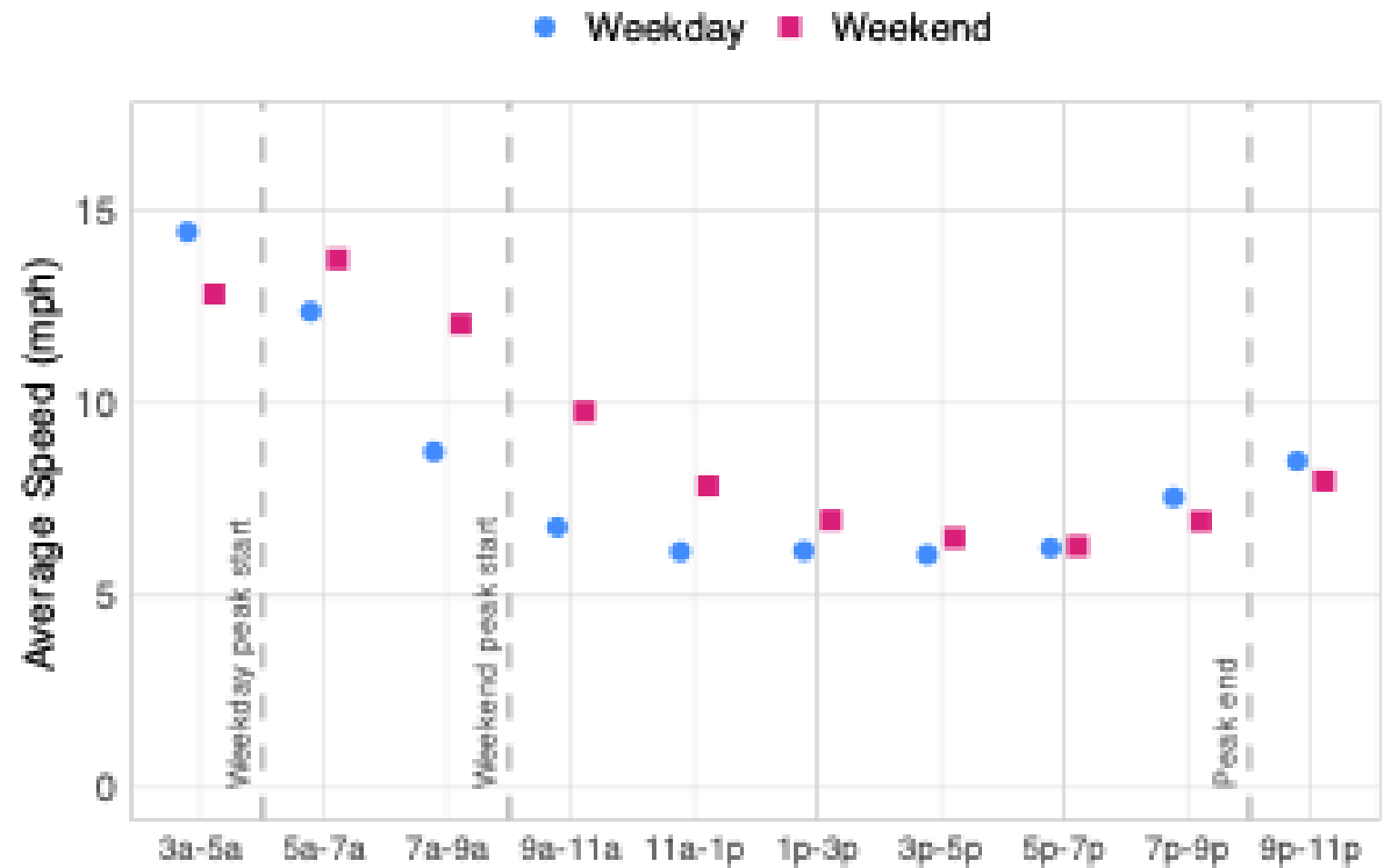
NYC congestion pricing: one year later

(a) ATT on log speeds: road segments



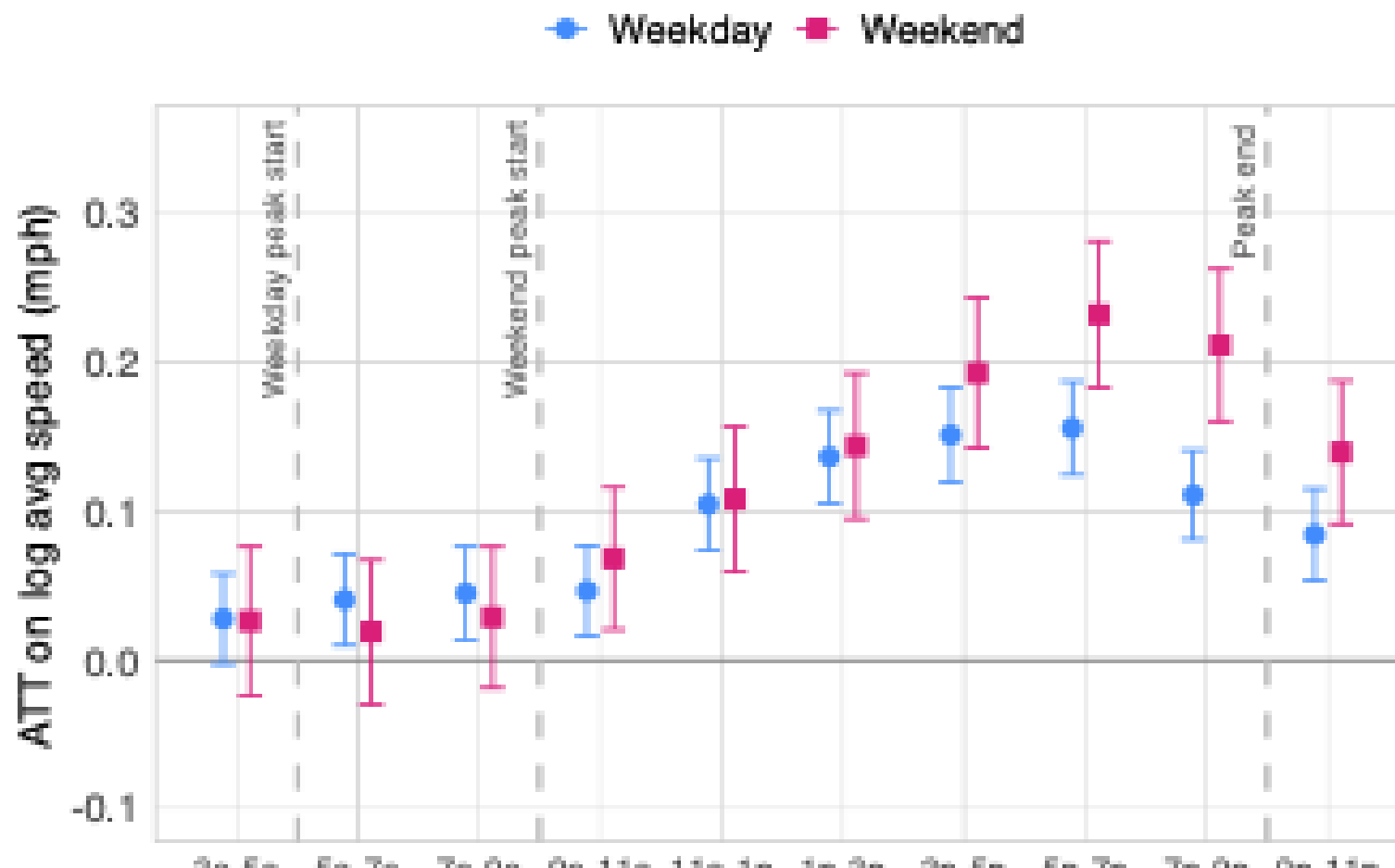
NYC congestion pricing: one year later

(c) Average segment speeds by hour of day



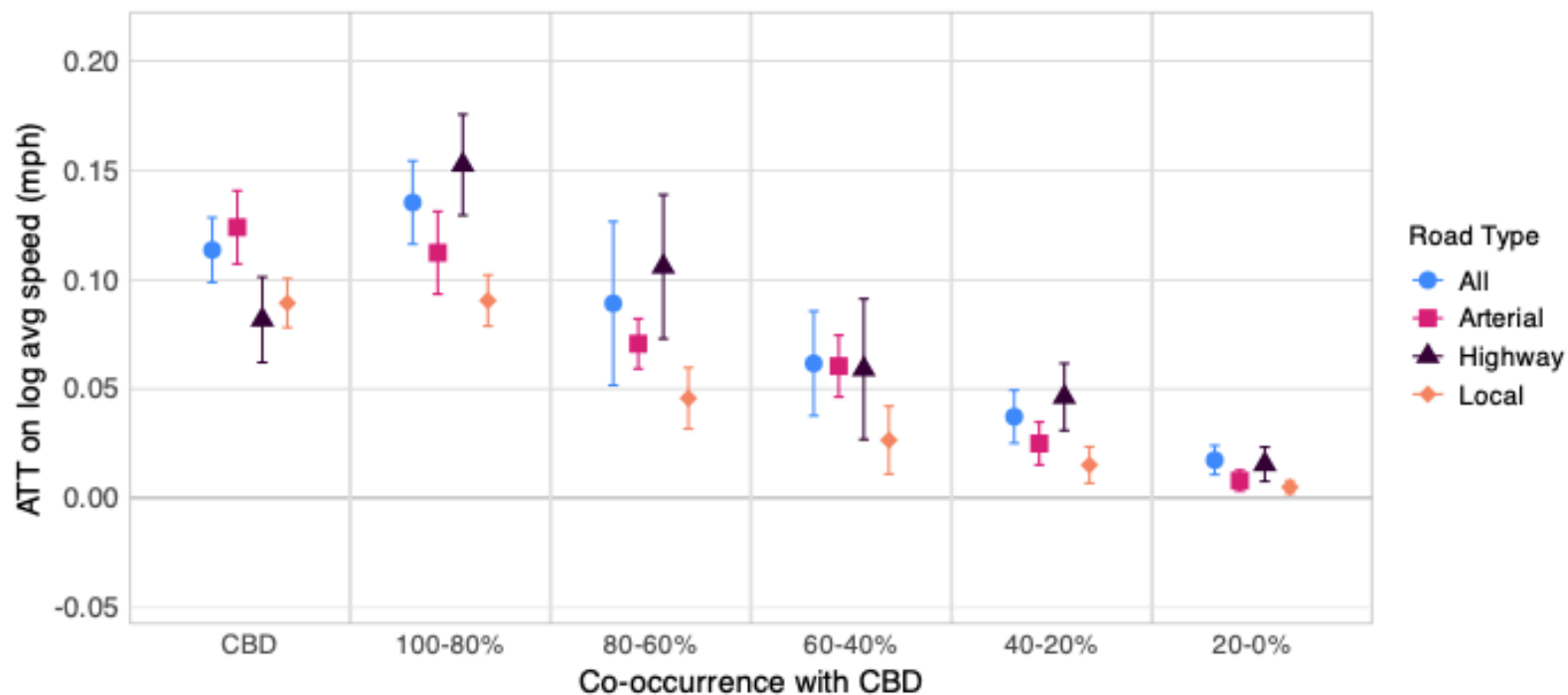
NYC congestion pricing: one year later

(d) ATT on log speeds: hour of day



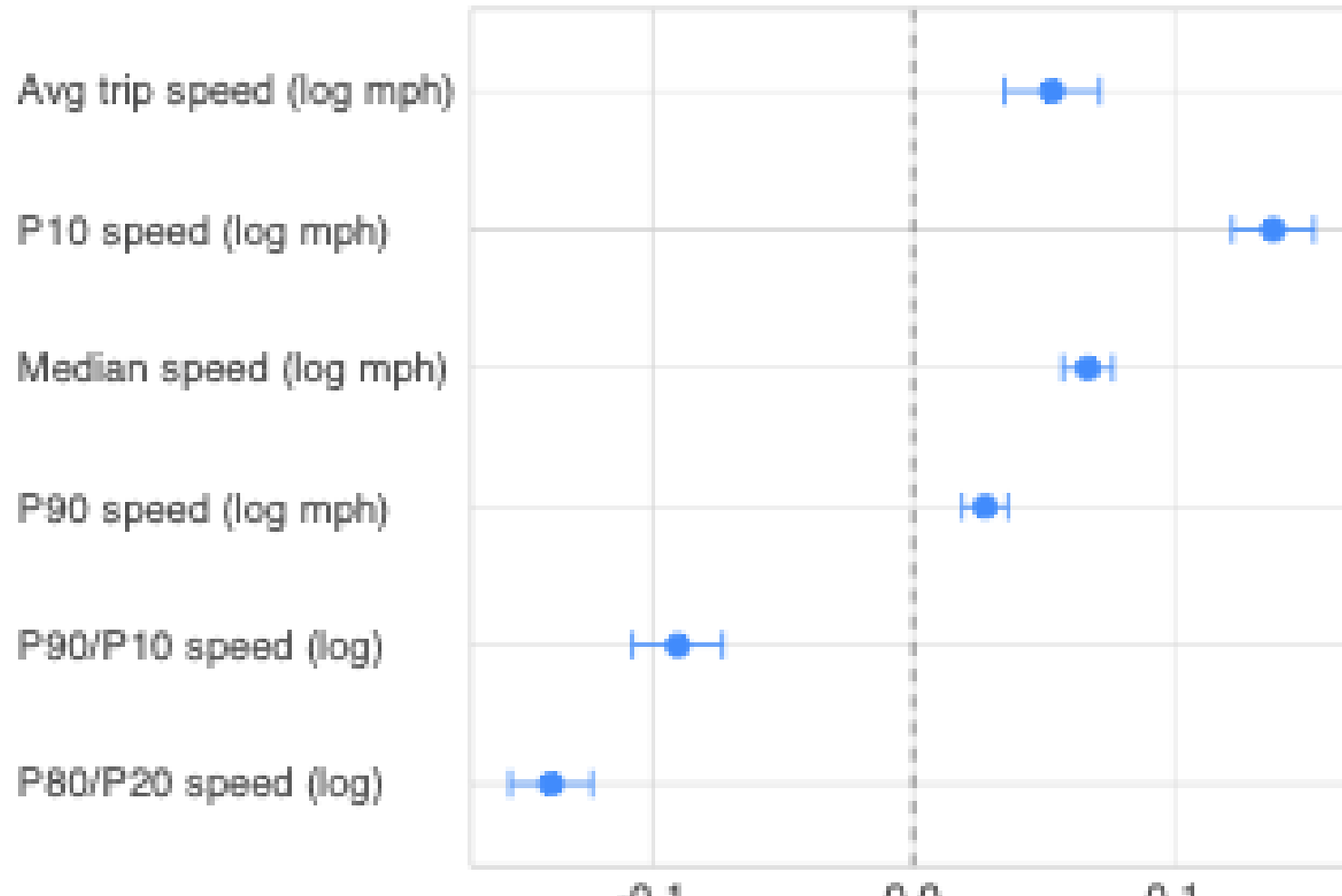
NYC congestion pricing: one year later

Figure 4: Effect on Speeds by Co-Occurrence and Road Type



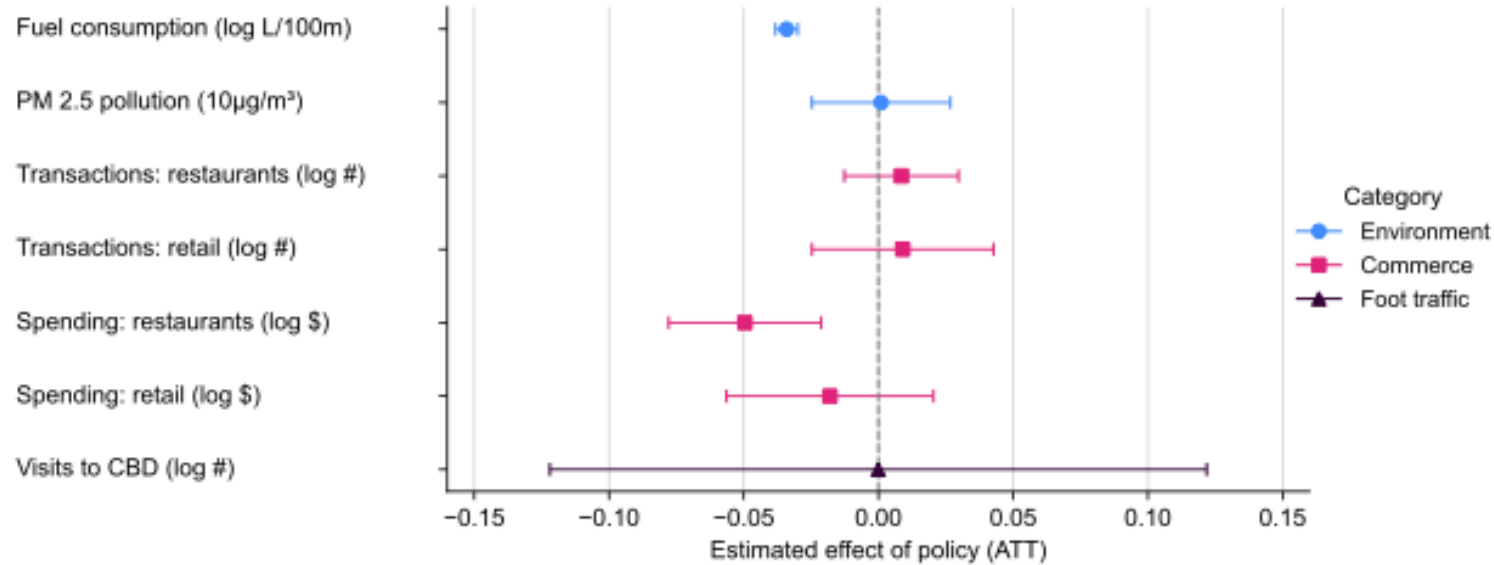
NYC congestion pricing: one year later

(b) ATT on other traffic outcomes



NYC congestion pricing: one year later

Figure 3: Effects on Other Outcomes in the CBD



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- 6.5 cents/liter on diesel
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The response: **Yellow Vest protests** (Gilets Jaunes)

France's Yellow Vest protests

What happened:

- 300,000+ protesters across France
- Blocked roads, occupied roundabouts
- Violent clashes in Paris
- 10 deaths, thousands injured over months of protests

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Why?

- Rural and suburban households depend on cars
- Tax seen as burden on working class while wealthy unaffected
- "End of the world vs end of the month"

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Lessons for environmental taxes

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- Exemptions for low-income groups
- Gradual phase-in periods
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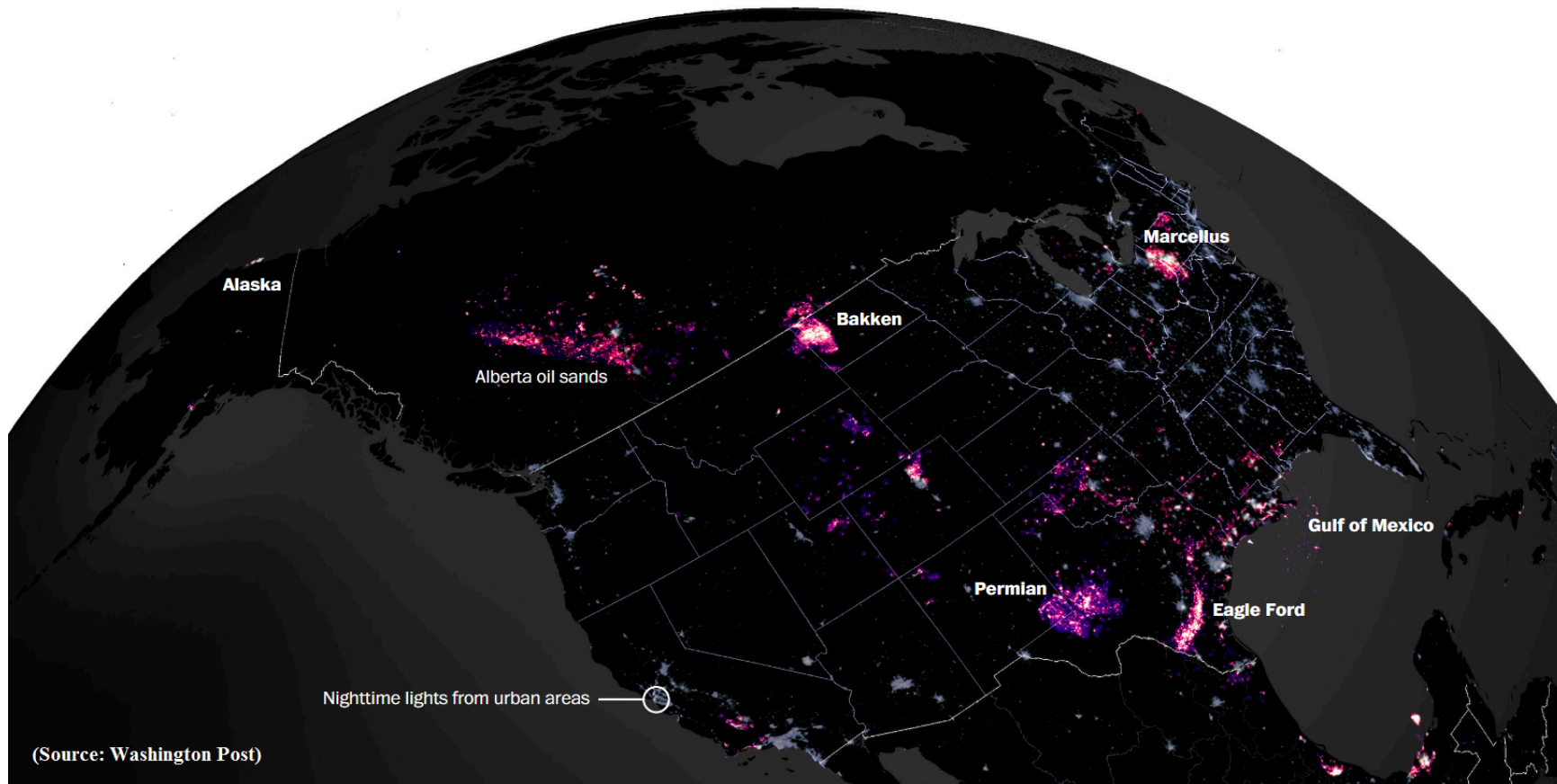
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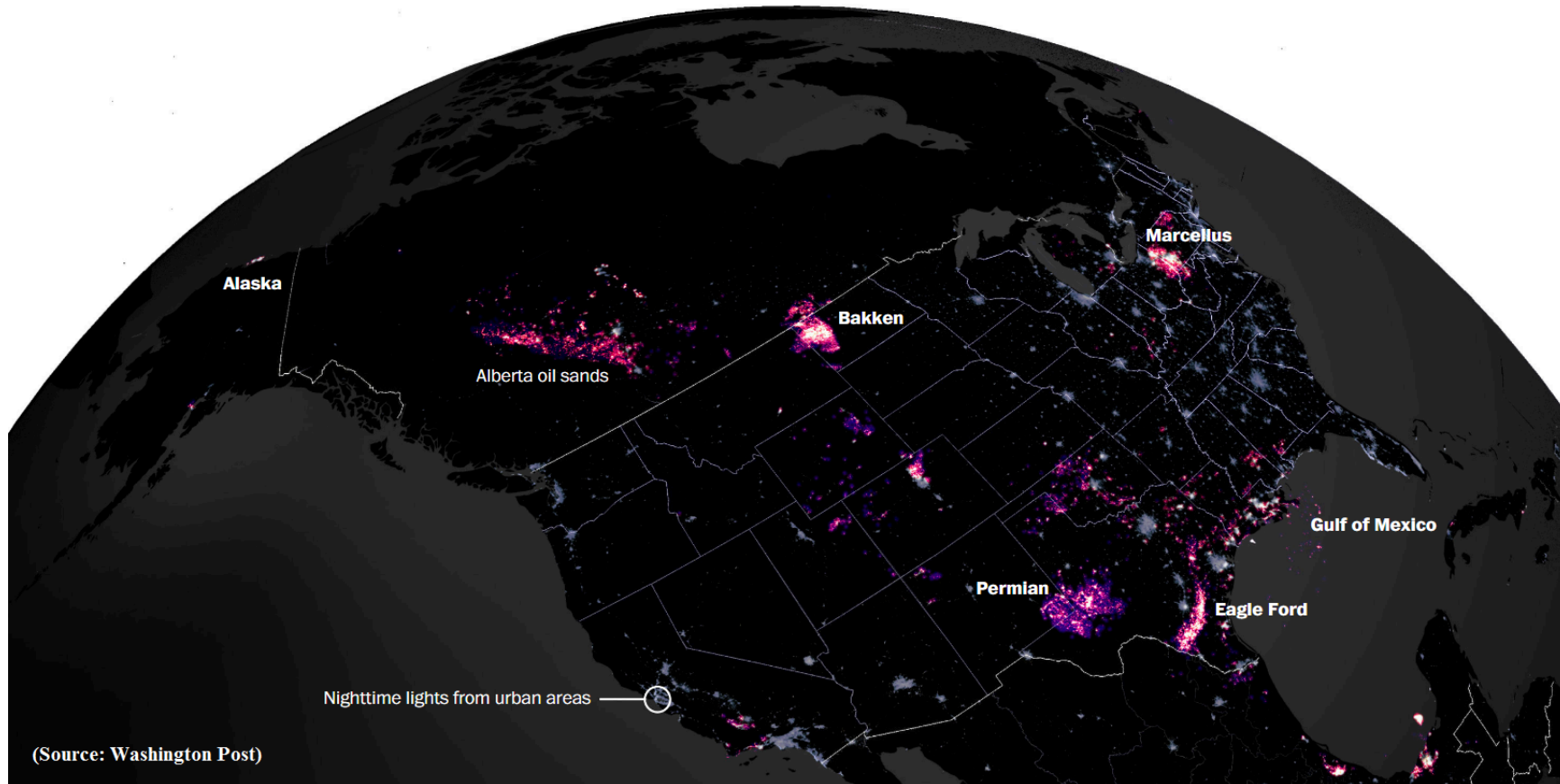
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NYC's congestion pricing includes income-based exemptions for this reason

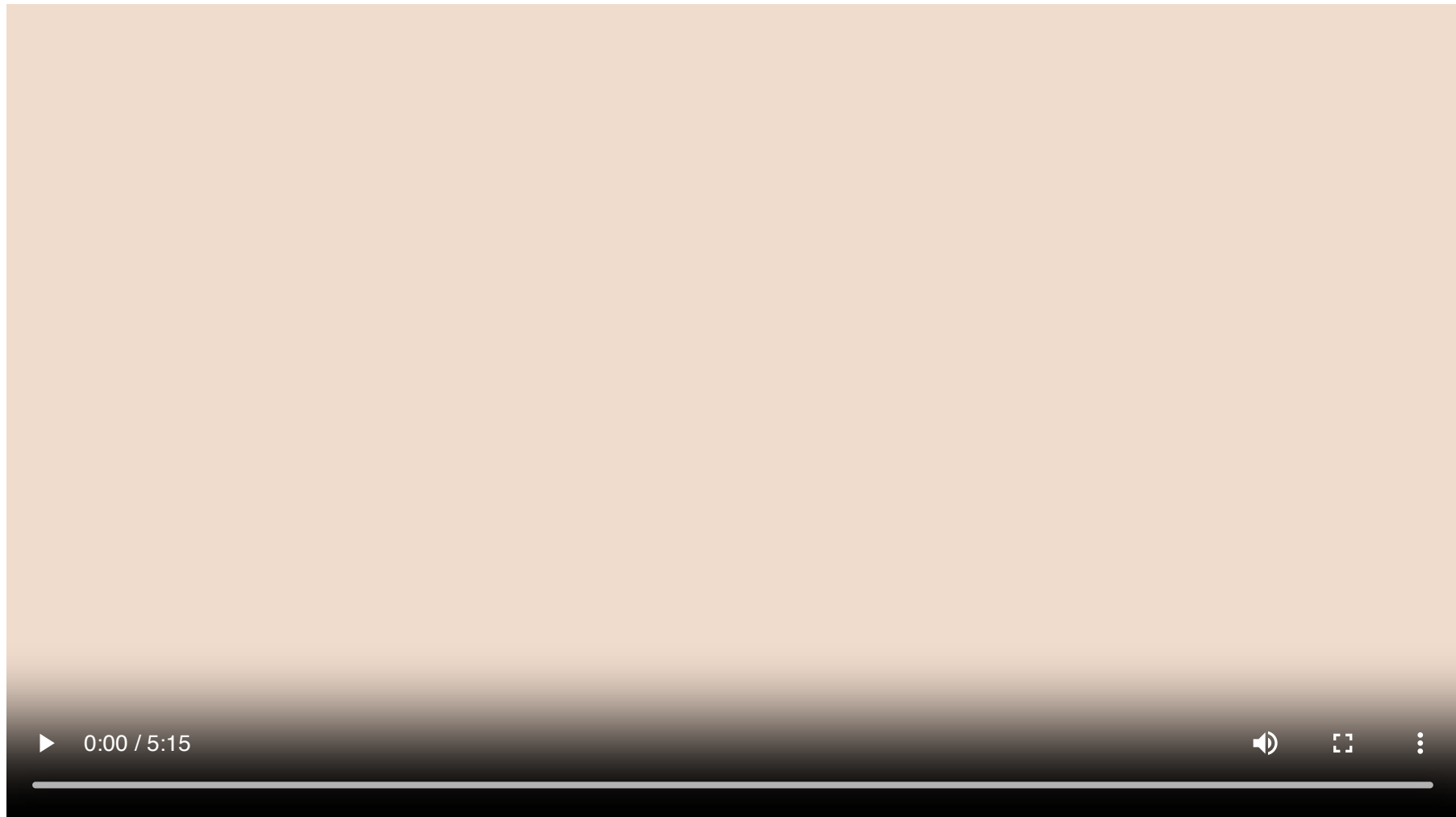
Taxes vs Standards



Taxes vs Standards



Emission taxes



Unconventional oil



(Andrew Burton/Getty Images)

Unconventional oil



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(Andrew Burton/Getty Images)

Flaring regulations in North Dakota

North Dakota Industrial Commission established firm-level flaring limits beginning in October 2014

North Dakota Industrial Commission Order 24665 Policy/Guidance **Version 041718**

Policy Goals:

- 1) reduce the flared volume of gas
- 2) reduce the number of wells flaring
- 3) reduce the duration of flaring from wells

The Commission establishes the following gas capture goals:

- 74% October 1, 2014 through December 31, 2014
- 77% January 1, 2015 through March 31, 2016
- 80% April 1, 2016 through October 31, 2016
- 85% November 1, 2016 through October 31, 2018
- 88% November 1, 2018 through October 31, 2020
- 91% beginning November 1, 2020

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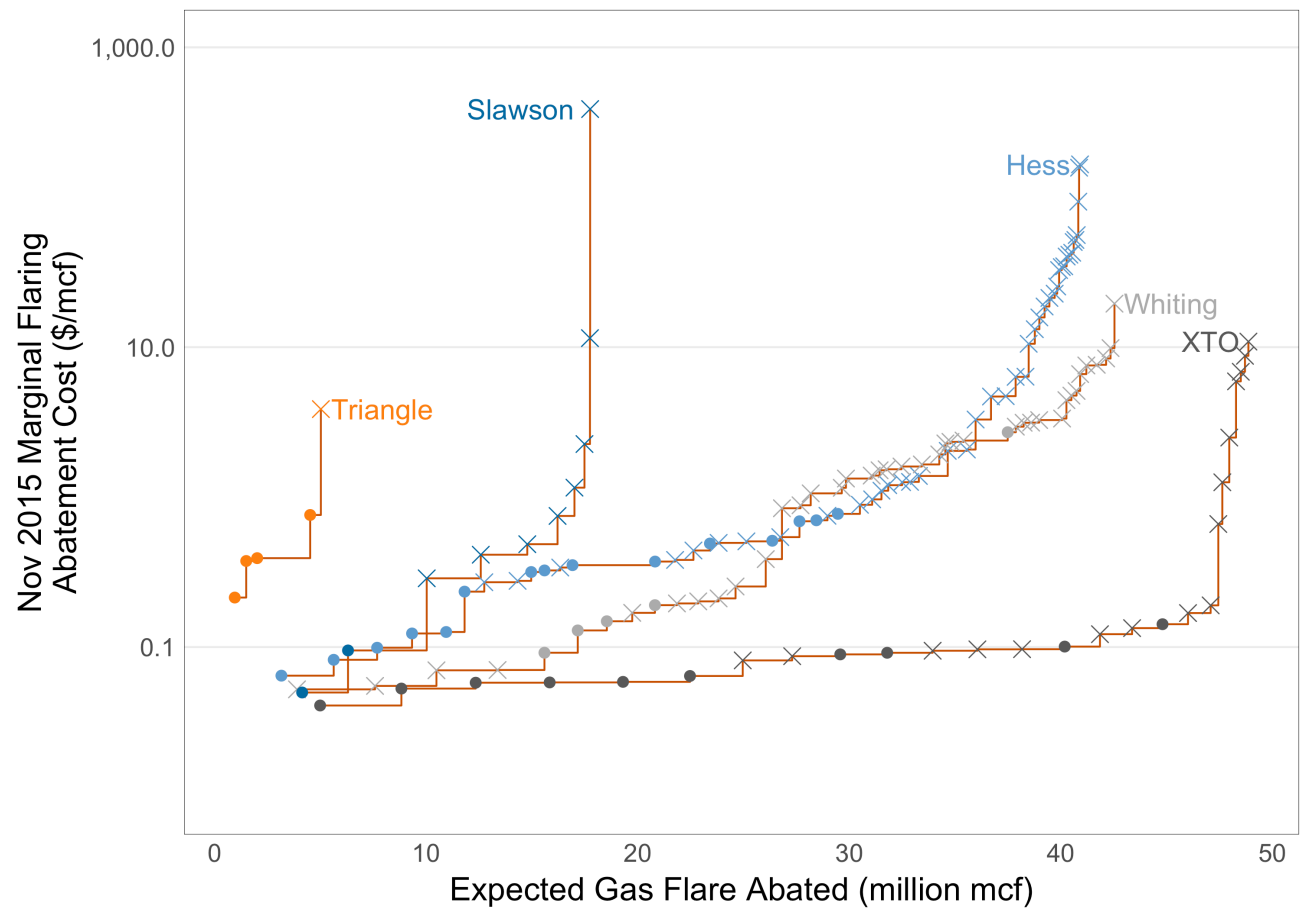
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It was applied uniformly across firms

We know that means it'll be inefficient

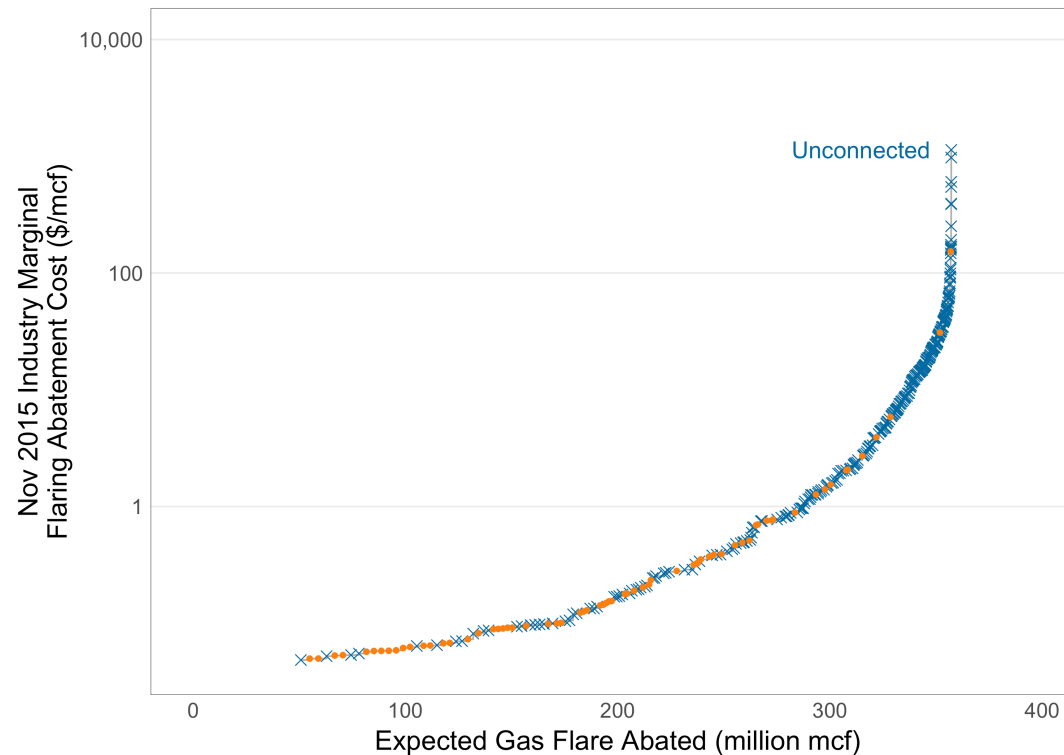
Real world MACs

Firms appear to be cost-minimizing to comply



Real world MACs

But this doesn't mean total costs are minimized given the quantity of gas captured



What if we used a tax?

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We could capture 99% of the gas as the regulation, but 50% of the cost

Almost everyone is better off

The majority of firms are better off with a tax

